

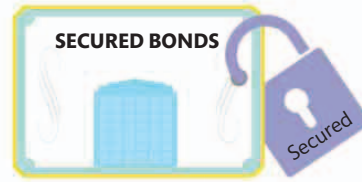
## TYPES OF BONDS

### Government bonds

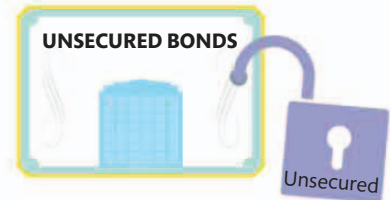


**Government bonds** are the safest type of bond since governments in developed capitalist economies are unlikely to default on interest payments on the loan or on the principal sum.

### Corporate bonds



**Secured bonds** are secured by the assets of a company, making them a less risky investment than shares. Examples include equipment, trust certificates, and mortgage bonds.



**Unsecured bonds** are not backed by pledged collateral and are a riskier investment—if the company fails, investors are paid only after secured bonds have been paid out. Because they are more risky, investors expect a higher return (interest) on their investment.



### Investors receive annual interest

Each year, the company pays an investor \$7 (7 percent of \$100) for each bond bought, in return for using the principal sum as capital to fund its business. After 10 years, the investor has received a total of \$70 interest per bond.



### Mature bond is repaid

Once the bond reaches its date of maturity, in this case 10 years, the original sum of money, \$100, is repaid to the investor. So the investor receives a total of \$170, including interest, over the full term, in return for the original \$100 investment.